MORISON INDUSTRIES PLC

FINANCIAL STATEMENTS

31 DECEMBER 2025

MORISON INDUSTRIES PLC

Contents **Pages**

Corporate information

Directors	Mr. Richard O.Titiloye	Chairman
	Mr. Adesoji A. Oladejo	Managing Director
	Engineer Charles A. Osezua (OON)	Non-Executive Director
	Mrs. Afolake Lawal	Non-Executive Director
	Mr. John Adekoje	Non-Executive Director
	Mr. Ayeni Philip	Non-Executive Director (Resigned w.e.f 19/6/2025)
	Mr. Akintayo Odeyemi	Non-Executive Director (Appointed w. e. f. 19/6/2025)
	Chief Mathew Akinlade	Non-Executive Director (Appointed w. e. f.18/12/2025)

Registered Office
28/30 Morison Crescent
Oregun Industrial Area
Ikeja
Lagos

Tax Identification Number
01277168-0001

Registrar and Transfer Office
Cardinal Stone(Registrars) Limited
335/337, Herbert Macaulay Way
Yaba
Lagos

Auditor
BDO Professional Services
ADOL House
15 CIPM Avenue
Central Business District , Alausa
Ikeja
Lagos

Solicitor
S.B.Joseph & Co.
140 Borno Way
Ebute Metta
Lagos.

Bankers
Ecobank Nigeria Limited
Fidelity Bank Plc
Stanbic IBTC Bank Plc
Union Bank of Nigeria Plc
Wema Bank Plc
Zenith Bank Plc

The Directors hereby present their annual report on the affairs of Morison Industries Plc (''the Company''), together with the Financial Statements and Auditor's report for the year ended 31 December 2025 and that the Financial Statements have been prepared in accordance to the provisions of the International Financial Reporting Standard (IFRS).

Principal activity

The principal activities of the Company continue to be the production and marketing of pharmaceuticals hygiene products including the Morigad range of Disinfectants and the importation & distribution of medical, surgical and hospital equipment, instruments and consumable throughout the country.

The Company's production facilities are also made available for third party activities under contract manufacture arrangement.

Operating results

The following is a summary of the Company's operating results:

	2025 ₦'000	2024 ₦'000
Revenue	513,767	287,179
Results from operating activities	34,337	(59,695)
Profit/(loss) before taxation	15,736	(76,958)
Taxation	(3,426)	(1,789)
Profit/(loss) for the year	12,310	(78,747)

Dividend

The Directors were unable to recommend the payment of a dividend due to the Company's performance for the operating period.

Board of Directors

The Company is run by a Board of Seven (7) Directors comprising of one (1) Executive Director and five (6) Non-Executive Directors including the Chairman who heads the Board.

List of Board Members and attendance at meetings.

	No. of Meeting	26/3/25	24/7/25	28/10/25	18/12/25
Mr. Richard O. Titiloye	4	P	P	P	P
Mr. Soji Oladejo	4	P	P	P	P
Engr. Charles A. Osezua (OON)	4	P	P	P	P
Mr. Ayeni Philip	4	P	A	A	A
Mr. Odeyemi Akintayo	4	A	P	P	P
Mrs. Afolake Lawal	4	P	P	P	P
Mr. John Adekoje	4	P	P	P	P
Chief Mathew Akinlade	4	A	A	A	P

Key: P = Present, A = Absent

Board Committees

Pursuant to the Company's Article of Association, Directors may delegate their powers to Committees as they think fit. Such Committees are required to exercise their delegated powers in conformity with the regulations laid down by the Board.

The Company has in place two (2) Board Committees namely: The Remuneration, Nomination & Governance Committee and Risk Management Committee. The Committees have written terms of reference to guide them in the performance of their duties. Each Committee reports to the Board of Directors and provides recommendations to the Board, when necessary, on matters requiring Board approval.

List of Committees members and attendance at meetings

Committee	Committee Membership	No. of Meetings/Attendance
Remuneration, Nomination & Governance	Engr. C. A. Osezua (OON)	2/2
	Mrs. Afolake Lawal	2/2
	Mr. Ayeni Philip	0/2
	Mr. Odeyemi Akintayo	2/2
	Mr. John Adekoje	2/2
Risk Management	Mrs. Afolake Lawal	2/2
	Mr. John Adekoje	2/2
	Mr. Soji Oladejo	2/2

Directors and their Interests

The Directors who served during the year and their interests in the Issued Share Capital of the Company at the year-end were as follows:

	Shareholdings 31 December 2025			Shareholdings 31 December 2024		
Directors' Name	Direct	Indirect	% of Holdings	Direct	Indirect	% of Holdings
Mr. Richard O. Titiloye	95,881,888	45,460,929	11.25	95,881,888	45,460,929	14.29
Engr. Charles A. Osezua (OON)	23,723,066	178,000,000	16.06	23,723,066	161,894,881	18.77
Mrs. Afolake Lawal	-	125,663,401	10.00	-	125,663,401	12.71
Mr. Ayeni Philip	-	-	-	-	60,871,500	6.15
Mr. Odeyemi Akintayo	-	60,871,500	4.85	-	-	-
Chief Mathew Akinlade	2,000	-	-	-	-	-
Mr. Adekoje John O.	-	-	-	-	-	-
Mr. Adesoji Oladejo (MD)	-	-	-	-	-	-

*Mrs. Lawal represents the interest of GTI Securities Limited holders of 6.25% and G.Q. Sharitan Ventures Limited holders of 3.75% on the Board of Morison Industries Plc.

Mr. Odeyemi Akintayo represents the interest of Morison Investment Limited holders of 4.85% on the Board of Morison Industries Plc.

Statutory Audit Committee

The Committee is established to perform the functions stated in Section 404(7) of the Companies and Allied Matters Act, 2020.

There are Five (5) members of the Committee. The representative of the shareholders is the Chairman of the Committee. The Committee met during the period under review and discharged their responsibilities well.

The table below shows the members who served on the Committee during the period and their attendance at the meetings:

Names of Directors	No. of Meeting	30/1/25	25/3/25	9/9/25	27/11/25
Mr. Chuks O. Osadinizu	4/4	P	P	P	P
Mr. Benedict Ugwuede	4/4	P	P	P	P
Mr. Oluwaseun Olukoya	4/4	P	P	P	P
Mr. Ayeni Philip	2/4	P	P	A	A
Mr. Odeyemi Akintayo	2/4	A	A	P	P
Afolake Lawal (Mrs.)	4/4	P	P	P	P

Key: P = Present, A = Absent

Donations and Gifts
Donation of Nil was made during the year ended 31 December 2025.

Property, plant and equipment
Movement in the property, plant and equipment during the year are shown in note 16 of page 26 and in the opinion of the Directors, the fair value of the Company's property, plant and equipment is not lower than the value disclosed in the financial statements.

Auditor
BDO Professional Services (Chartered Accountants) have indicated their willingness to continue in office as the Company's auditor in accordance with section 401(2) of the Companies and Allied Matters Act, 2020. A resolution will be proposed authorizing the Directors to fix their remuneration.

By order of the Board

Bose Agbetu
Company Secretary

FRC/2014/NBA/00000007088
21 April 2026

The Companies and Allied Matters Act, 2020 requires the Directors to prepare financial statements for each financial year that give a true and fair view of the state of financial affairs of the Company at the end of the year and of the profit or loss for the year ended 31 December 2025, and in so doing they ensure that:

(a) Proper accounting records are maintained;

(b) Applicable accounting policies are adopted and consistently applied;

(c) Judgments and estimates made are reasonable and prudent;

(d) The going concern basis is used, unless it is inappropriate to presume that the Company will continue in business; and

(e) Internal control procedures are instituted which as far as reasonably possible, safeguard the assets of the Company and prevent and detect fraud and other irregularities.

The Directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgements and estimates, in conformity with the International Financial Reporting Standards (IFRS) and the requirements of the Companies and Allied Matters Act, 2020.

The Directors further accept responsibility for the maintenance of accounting records that may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

Nothing has come to the attention of the Directors to indicate that the Company will not remain a going concern for at least twelve months from the date of this statement.

TITILOYE, Richard Olaniyi	**OLADEJO, Akinola Adesoji**
Chairman	**Managing Director**
FRC/2013/ICAN/00000003887	**FRC/2021/003/00000022832**

In line with the provisions of Section 405 of the Companies and Allied Matters Act, 2020; we have reviewed the audited financial statements of the Company for the year ended 31 December 2025 and based on our knowledge confirm as follows:

(a) the audited financial statements do not contain any untrue statement of material fact or omit to state a material fact, which would make the statements misleading;

(b) the audited financial statements and all other financial information included in the statements fairly present, in all material respects, the financial condition and results of operations of the Company as at and for the year ended 31 December 2025.

(c) the Company's internal controls have been designed to ensure that all material information relating to the Company is received and provided to the Auditor in the course of the audit.

(d) the Company's internal controls were evaluated within 90 days of the financial reporting date and were effective as at 31 December 2025.

(e) that we have disclosed to the Auditor that there are no significant deficiencies in the design or operations of the Company’s internal controls which could adversely affect the Company's ability to record, process, summarise and report financial data, and have discussed with the Auditor any weaknesses in internal controls observed in the course of the Audit.

(f) that we have disclosed to the Auditor that there is no fraud involving management or other employees who have significant role in the Company’s internal control; and

(g) there are no significant changes in internal controls or in other factors which could significantly affect internal controls subsequent to the date of this audit, including any corrective actions with regard to any observed deficiencies and material weaknesses

ABIOYE, Olajide Adedayo
Financial Controller
FRC/2017/ICAN/00000016358

OLADEJO, Akinola Adesoji
Managing Director
FRC/2021/003/00000022832

MORISON INDUSTRIES PLC

MANAGEMENT'S REPORT ON THE ASSESSMENT OF INTERNAL CONTROL OVER FINANCIAL REPORTING

FOR THE YEAR ENDED 31 DECEMBER 2025

Management of Morison Industries Plc ("the Company") is responsible for establishing and maintaining an adequate system of internal control over financial reporting, including safeguarding of assets against unauthorized acquisition, use or disposition. This system is designed to provide reasonable assurance to Management and the board of directors regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles.

The Company's internal control system is supported by written policies and procedures, incorporates self monitoring mechanisms, and is subject to internal audit reviews. When deficiencies are identified, Management takes appropriate corrective actions. However, like all internal control systems, inherent limitations exist, including the potential for circumvention or overriding of controls.

As of 31 December 2025, Management conducted an assessment of the effectiveness of internal control over financial reporting using the COSO 2013 Internal Control – Integrated Framework, issued by the Committee of Sponsoring Organizations of the Treadway Commission (COSO).

Based on this assessment, Management ascertained that, as of 31 December 2025, the Company's internal control over financial reporting was properly designed and effectively operating. Furthermore, no material weaknesses were identified in the Company's internal control over financial reporting.

The effectiveness of the Company's internal control over financial reporting as of 31 December 2025, has been audited by an independent registered accounting firm.

Dated 21 April 2026

TITILOYE, Richard Olaniyi
Chairman
FRC/2013/ICAN/00000003887

OLADEJO, Akinola Adesoji
Managing Director
FRC/2021/003/00000022832

We, Oladejo Adesoji (Managing Director) and Abioye Adedayo (Financial Controller) of Morison Industries Plc, certify that:

We have reviewed the Management Report on the Assessment of Internal Control Over Financial Reporting of Morison Industries Plc;

Based on our knowledge, this report does not contain any untrue statement of a material fact or omit to state a material fact necessary to ensure that the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this report.

Based on our knowledge, the financial statements, and other financial information included in this report, fairly present in all material respects the financial condition, results of operations and cash flows of the Company as of, and for, the periods presented in this report;

We,

(i) are responsible for establishing and maintaining internal controls;

(ii) have designed such internal controls and procedures, or caused such internal controls and procedures to be designed under our supervision, to ensure that material information relating to the Company, is made known to us by others, particularly during the period in which this report is being prepared;

(iii) have designed such internal control system, or caused such internal control system to be designed under our supervision, to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles.

(iv) have evaluated the effectiveness of the Company's internal controls and procedures as of a date within 90 days prior to this report and presented in this report our conclusions about the effectiveness of the internal controls and procedures, as of the end of the period covered by this report based on such evaluation.

Based on our most recent evaluation of internal control system, we have disclosed to the Company's auditor and the audit committee of the board of directors (or persons performing the equivalent functions):

(i) that there are no significant deficiencies or material weaknesses in the design or operation of the internal control system that could reasonably likely to adversely affect the Company's ability to record, process, summarize, and report financial information.

(ii) that no fraud, whether material or not, involving management or employees with a significant role in the internal control system has been identified.

We have also disclosed in this report whether there have been any significant changes in internal controls or other factors that could significantly affect internal controls subsequent to the date of their evaluation including any corrective actions with regard to significant deficiencies and material weaknesses.

Dated 21 April 2026

OLADEJO, Akinola Adesoji	**ABIOYE, Olajide Adedayo**
Managing Director	**Financial Controller**
FRC/2021/003/00000022832	**FRC/2017/ICAN/00000016358**

Tel: +234 1 4483050-9
+234 (0) 903 644 0755
bdonig@bdo-ng.com
www.bdo-ng.com

ADOL House
15 CIPM Avenue
Central Business District,
Alausa, Ikeja
P. O. Box 4929, GPO, Marina
Lagos, Nigeria

Assurance Report of Independent Auditor
To the Shareholders of Morison Industries Plc
Assurance Report on Management's Assessment of Control over Financial Reporting

We have performed a limited assurance engagement on Morison Industries Plc ("the Company") internal control over financial reporting as of 31 December 2025, based on Financial Reporting Council (FRC) Guidance on Management Report on Internal Control Over Financial Reporting and Securities and Exchange Commission (SEC) Guidance on Management Report on Internal Control over Financial Reporting. Morison Industries Plc's Board of Directors and Management are responsible for maintaining effective internal control over financial reporting, and for its assessment of the effectiveness of internal control over financial reporting, included in the accompanying Management's Report on Internal Control over Financial Reporting. Our responsibility is to express an opinion on the Company's Internal Control over Financial Reporting based on our Assurance engagement.

In our opinion, nothing has come to our attention that the internal control procedures over financial reporting put in place by management are not adequate as of the specified date, based on the FRC/SEC Guidance on Management Report on Internal Control Over Financial Reporting.

We have complied with independence and other ethical requirements of the Code of Ethics for professional Accountants issued by the International Ethics Standards Board for Accountants, which is founded on fundamental principles of integrity, objectivity, professional competence and due care, confidentiality and professional behaviour.

The Firm applies the International Standard on Quality Management 1, Quality Management for firms that perform audit or review of financial statements, or other assurance or related services engagement which requires the firm to design, implement and operate a system of quality management including policies or procedures regarding compliance with ethical requirements, professional standards, and applicable legal and regulatory requirements.

We conducted our Assurance engagement in accordance with FRC Guidance on Assurance Engagement Report on Internal Control over Financial Reporting. That Guidance requires that we plan and perform the Assurance engagement and provide a limited assurance report on the entity's internal control over financial reporting based on our assurance engagement.

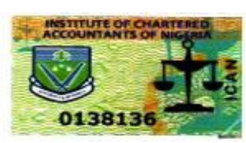
As prescribed in the Guidance, the procedures we performed included obtaining an understanding of internal control over financial reporting, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. Our engagement also included performing such other procedures as we considered necessary in the circumstances. We believe the procedures performed provide a basis for our report on the internal control put in place by management over financial reporting.

A Company's internal control over financial reporting is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A Company's internal control over financial reporting includes those policies and procedures that:

i. pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and disposition of the assets of the Company;
ii provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the Company are being made only in accordance with authorization of management and directors of the Company; and
iii. provide reasonable assurance regarding prevention or timely detection of unauthorized acquisition, use, or disposition of the Company's assets that could have a material effect on the financial statements.

Because of its inherent limitations, internal control over financial reporting may not prevent or detect all misstatements. Also, projections of any evaluation of effectiveness to future periods are subject to the risk that controls may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

BDO Professional Services - FRC/2024/COY/398515
Olugbemiga A. Akibayo, FCA - FRC/2013/PRO/ICAN/004/00000001076
For: BDO Professional Services
Lagos, Nigeria
30 April 2026



BDO

Tel: +234 1 4483050-9
+234 (0) 903 644 0755
bdonig@bdo-ng.com
www.bdo-ng.com

ADOL House
15 CIPM Avenue
Central Business District,
Alausa, Ikeja
P. O. Box 4929, GPO, Marina
Lagos, Nigeria

INDEPENDENT AUDITOR'S REPORT
TO THE SHAREHOLDERS OF MORISON INDUSTRIES PLC
REPORT ON THE AUDIT OF THE FINANCIAL STATEMENTS

Opinion

We have audited the financial statements of Morison Industries Plc which comprise, the statement of financial position as at 31 December 2025, the statement of profit or loss and other comprehensive income, statement of changes in equity, and statement of cash flows for the year then ended; and notes to the financial statements, including a summary of material accounting policies and other explanatory notes.

In our opinion the accompanying financial statements give a true and fair view of the financial position of the Company as at 31 December 2025 and of its financial performance and cash flows for the year then ended in accordance with the International Financial Reporting Standards issued by the International Accounting Standards Board, and in compliance with the relevant provisions of the Financial Reporting Council of Nigeria (Amendment) Act, 2023 and the Companies and Allied Matters Act, 2020.

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants together with the ethical requirements that are relevant to our audit of the financial statements in Nigeria, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the International Ethics Standards Board Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Material Uncertainty Related to Going Concern

We draw attention to Note 35 of the financial statements which indicates that though the Company recorded a profit before tax of N15.7million during the year ended 31 December 2025 (2024: loss before tax of N77 million) and generated net cash inflows from operating activities of N129.2 million (2024: N3.5 million), as at that date, its current liabilities exceeded its current assets by N10.8 million (2024:N438million) and had accumulated losses of N903.9 million (2024: N916.3 million). These conditions indicate the existence of a material uncertainty which may cast significant doubt about the Company's ability to continue as a going concern. Our Opinion is not modified in respect of this matter.

Key Audit Matter

Key audit matter is the matter that, in our professional judgement, was of most significance in our audit of the financial statements of the current year. This matter was addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on this matter.

Revenue recognition

Risk

Revenue is recognised and posted as sales when invoices are raised irrespective of whether the goods have been delivered and the waybill endorsed by the customers. There is a risk that sales may not exist and be misstated as transfer of control may not have passed to the third party in line with the Company's accounting policies and the provisions of International Financial Reporting Standard(IFRS)15.

Our response

Our audit procedures in response to the risk included, amongst others:

- Confirmation of revenue cycle cut-off from goods dispatched for completeness at year end
- For a selected sample of signed delivery notes/waybills listing in the verified store records, we:

  - Obtained details of dispatches of inventory prior to and subsequent to the year end, and confirmed that they were appropriately treated.

  - Traced delivery notes/waybills signed by the customer or its representative as maintained by Store to invoices recorded in sales ledger before and after year end.

  - Verified and confirmed that revenue and receivables were recorded in the appropriate accounting period.

Other information

The Directors are responsible for the other information. The other information comprises the information included in the Chairman's statement, Directors' report, Statement of Directors' Responsibilities and Statement of Corporate Responsibility but does not include the financial statements and our auditor's report thereon. Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained during the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the Directors for the Financial Statements

The Directors are responsible for the preparation and fair presentation of the financial statements in accordance with International Financial Reporting Standards issued by the International Accounting Standards Board, and in compliance with the relevant provisions of the Financial Reporting Council of Nigeria (Amendment) Act, 2023 and the Companies and Allied Matters Act, 2020 and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Directors are responsible for assessing the Company’s ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's financial reporting process.

Auditor's responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue a report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with International Standards on Auditing will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with International Standards on Auditing, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

* Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

* Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.

* Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Directors.

* Conclude on the appropriateness of the Directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.

* Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with the Directors regarding, among other matters, the planned scope and timing of the audit, and significant audit findings and any significant deficiencies in internal control that we identify during our audit.

Report on other legal and regulatory requirements

The Companies and Allied Matters Act, 2020 requires that in carrying out our audit we consider and report to you on the following matters. We confirm that:

(i) we have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purpose of our audit;
(ii) in our opinion, proper books of account have been kept by the Company, and
(iii) the Company's statement of financial position, and its statement of profit or loss and other comprehensive income are in agreement with the books of account.

Olugbemiga A. Akibayo, FCA
FRC/2013/PRO/ICAN/004/00000001076
For: BDO Professional Services
Chartered Accountants

INSTITUTE OF CHARTERED ACCOUNTANTS OF NIGERIA
ICAN
0138141

Lagos, Nigeria
30 April 2026

MORISON INDUSTRIES PLC

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

FOR THE YEAR ENDED 31 DECEMBER 2025

	Notes	2025 N'000	2024 N'000
Revenue	7	513,767	287,179
Cost of sales	8	(313,578)	(209,815)
Gross profit		200,189	77,364
Distribution and selling expenses	9	(51,787)	(34,720)
Operating expenses	10	(233,947)	(170,699)
Other operating income	11	119,882	68,360
Profit/(loss) from operations		34,337	(59,695)
Finance income	12	999	2,337
Finance expenses	12	(19,600)	(19,600)
Net finance expenses		(18,601)	(17,263)
Profit/(loss) before taxation	13	15,736	(76,958)
Tax expense	14(i)	(3,426)	(1,789)
Profit/(loss) for the year		12,310	(78,747)
Other comprehensive income			
Items that will not be reclassified to profit or loss:		-	-
Items that will or may be reclassified to profit or loss:		-	-
Total other comprehensive income		-	-
Total comprehensive income/(loss)		12,310	(78,747)
Profit/(loss) per share (kobo)	27	1	(8)

The accompanying notes on pages 9 to 33 and other national disclosures on pages 34 and 35 form an integral part of these financial statements.

Auditor's report, pages 2 to 4

MORISON INDUSTRIES PLC

STATEMENT OF FINANCIAL POSITION AS AT 31 DECEMBER 2025

	Notes	2025	2024
Assets		**N'000**	**N'000**
Non-current assets			
Property, plant and equipment	16	1,382,414	1,404,492
Current assets			
Inventories	17	68,679	69,599
Trade and other receivables	18	118,591	59,223
Cash and cash equivalents	19	541,186	21,996
		728,456	150,818
Total assets		2,110,870	1,555,310
Liabilities			
Current liabilities			
Borrowings	20	193,323	173,723
Trade and other payables	21	536,779	410,388
Income tax payables	14(v)	9,190	4,710
		739,292	588,821
Non-current liabilities			
Employees' benefit obligations	22	515	515
Deferred tax liabilities	15	176,685	184,163
		177,200	184,678
Total liabilities		916,492	773,499
Net assets		1,194,378	781,811
Equity			
Share capital	23	627,999	494,580
Share premium	24	351,315	84,477
Accumulated losses	25	(903,971)	(916,281)
Revaluation reserve	26	1,119,035	1,119,035
Total equity		1,194,378	781,811

The financial statements and accompanying notes on pages 5 to 35 were approved and authorised for issue by the Board of Directors on 21 April 2026 and signed on its behalf by:

TITILOYE, Richard Olaniyi	**OLADEJO, Akinola Adesoji**	**ABIOYE, Olajide Adedayo**
Chairman	**Managing Director**	**Financial Controller**
FRC/2013/ICAN/00000003887	**FRC/2021/003/00000022832**	**FRC/2017/ICAN/00000016358**

The accompanying notes on pages 9 to 33 and other national disclosures on pages 34 and 35 form an integral part of these financial statements.

Auditor's report, pages 2 to 4

MORISON INDUSTRIES PLC

STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED 31 DECEMBER 2025

	Share Capital N'000	Share Premium N'000	Accumulated Losses N'000	Revaluation Reserve N'000	Total Equity N'000
Balance at 1 January 2024	494,580	84,477	(837,534)	1,119,035	860,558
Comprehensive income for the year:					
Loss for the year	-	-	(78,747)	-	(78,747)
Other comprehensive income	-	-	-	-	-
Total comprehensive loss for the year	-	-	(78,747)	-	(78,747)
Transactions with owners recorded directly in equity	-	-	-	-	-
Total transactions with equity owners	-	-	-	-	-
Balance at 31 December 2024	494,580	84,477	(916,281)	1,119,035	781,811
	N'000	**N'000**	**N'000**	**N'000**	**N'000**
Balance at 1 January 2025	494,580	84,477	(916,281)	1,119,035	781,811
Comprehensive income for the year					
Profit for the year	-	-	12,310	-	12,310
Other comprehensive income	-	-	-	-	-
Total comprehensive income for the year	-	-	12,310	-	12,310
Transactions with owners, recorded directly in equity					
Issue of shares	133,419	266,838	-	-	400,257
Total transactions with equity owners	133,419	266,838	-	-	400,257
Balance at 31 December 2025	627,999	351,315	(903,971)	1,119,035	1,194,378

The accompanying notes on pages 9 to 33 and other national disclosures on pages 34 and 35 form an integral part of these financial statements.

Auditor's report, pages 2 to 4

MORISON INDUSTRIES PLC

STATEMENT OF CASH FLOWS

FOR THE YEAR ENDED 31 DECEMBER 2025

	Notes	2025 N'000	2024 N'000
Cash flows from operating activities			
Profit/(loss) before taxation		15,736	(76,958)
Adjustments for non-cash items:			
Finance income	12	(999)	(2,337)
Finance expenses	12	19,600	19,600
Allowance for credit losses- trade receivables	18(a)	24,966	15,118
Allowance for credit losses- other receivables	18(c)	5,351	3,706
Reversal of impairment allowance on trade receivables	18(a)	(26,081)	-
Depreciation of property, plant and equipment	16	33,349	33,054
Withholding tax utilised to offset income tax liability	14(v)	(5,025)	-
		66,897	(7,817)
Changes in working capital			
Inventories		920	(35,087)
Trade and other receivables	18(c)	(63,604)	(40,790)
Trade and other payables		126,391	87,185
Cash generated from operations		**130,604**	**3,491**
Income taxes paid	14(v)	(1,399)	-
Net cash inflow from operating activities		129,205	3,491
Cash flows from investing activities			
Purchase of property, plant and equipment	16	(11,271)	(575)
Finance income	12	999	2,337
Net cash (outflow)/inflow from investing activities		(10,272)	1,762
Cash flows from financing activities			
Share capital	23	133,419	-
Share premium	24	266,838	-
Net cash inflow from financing activities		400,257	-
Net increase in cash and cash equivalents		519,190	5,253
Cash and cash equivalents at the beginning of the year		21,996	16,743
Cash and cash equivalents at the end of the year	19	541,186	21,996

The accompanying notes on pages 9 to 33 and other national disclosures on pages 34 and 35 form an integral part of these financial statements.

Auditor's report, pages 2 to 4

1. **Corporate information and principal activities**

The Company was incorporated in Nigeria as a private limited liability Company on 29 June 1955 and it commenced business on the same day. It converted to a public quoted Company in 1978. Morison Investment Limited, UK, and Nigerian citizens own 6.15% and 93.85% respectively of the issued share capital of the Company.

The Company is engaged in the production and marketing of pharmaceuticals, hygiene products which include Morigad range of disinfectants and the importation and distribution of medical, surgical and hospital equipment and consumables made by Braun & Company Limited,BSN Medical, Desoutter Medical Limited, Heraeus Medical GmbH and Smith & Nephew Limited.

2. **Basis of preparation**

(a) **Statement of compliance**

The financial statements have been prepared in accordance with International Financial Reporting Standards (IFRS) as issued by the International Accounting Standards Board (IASB) and the requirements of the Companies and Allied Matters Act, 2020.

The financial statements were approved and authorised for issue by the Board of Directors on 21 April 2026.

(b) **Basis of measurement**

The financial statements have been prepared under the historical cost concept except for certain financial instruments which are measured at fair value as mentioned in the accounting policies in Note 5.

(c) **Functional and presentation currency**

The Company's functional and presentation currency is the Nigerian Naira. The financial statements are presented in Nigerian Naira and have been rounded up to the nearest thousand except where otherwise stated.

(d) **Use of estimates and judgements**

The preparation of financial statements in conformity with IFRS requires the use of certain critical accounting estimates and judgements. It also requires management to exercise its judgement in the process of applying the Company's accounting policies. The areas involving a higher degree of judgement or areas where assumptions and estimates are significant to the financial statements are disclosed in Note 4.

3. **Changes in accounting policies**

(a) **New standards, interpretations and amendments adopted from 1 January 2025**

Lack of exchangeability (Amendment to IAS 21 The Effects of Changes in Foreign Exchange Rates)

On 15 August 2023, the IASB issued amendments to IAS 21 titled Lack of Exchangeability. These amendments introduce guidance on assessing when a currency is exchangeable into another currency and when it is not. Where a currency is determined to be not exchangeable, an entity is required to estimate the spot exchange rate for use in applying IAS 21.

These amendments did not have an impact on the Company's financial statements

(b) **New standards, interpretations and amendments not yet effective**

There are a number of standards, amendments to standards, and interpretations which have been issued by the IASB that are effective in future accounting periods that the Company has decided not to adopt early.

The following amendments are effective for the annual reporting period

- ***Amendments to the Classification and Measurement of Financial Instruments (Amendments to IFRS 9 Financial Instruments and IFRS 7 Financial Instruments: Disclosures)***

- Clarification that financial liabilities are derecognised on the settlement date, with an accounting policy choice (subject to specific conditions) to derecognise liabilities settled via electronic payment systems before the settlement date.
- Additional guidance on assessing contractual cash flows for financial assets with environmental, social and governance (ESG) or similar features.
- Clarifications on non-recourse features and the characteristics of contractually linked instruments.
- New disclosure requirements for financial instruments with contingent features and enhanced disclosures for equity instruments measured at fair value through other comprehensive income (OCI).

The amendments are effective for annual periods beginning on or after 1 January 2026, with early application permitted for the classification of financial assets and related disclosures. The Company does not expect these amendments to have a material impact on its financial statements.

▪ Contracts Referencing Nature-dependent Electricity – Amendments to IFRS 9 and IFRS 7

Issued in December 2024, these amendments apply to contracts referencing nature-dependent electricity and:

- Clarify the application of the 'own-use' requirements.
- Modify designation requirements for hedged items in cash flow hedging relationships.
- Introduce new disclosure requirements to explain the impact of these contracts on financial performance and cash flows.

The amendments are effective for annual periods beginning on or after 1 January 2026 (early application permitted). Own-use amendments apply retrospectively; hedge accounting amendments apply prospectively to new hedging relationships. IFRS 7 disclosures must be implemented with IFRS 9 amendments.

The Company does not expect these amendments to have a material effect on its financial statements.

▪ Annual Improvements to IFRS Accounting Standards – Volume 11 Issued in July 2024, these nine narrow-scope amendments provide clarifications and corrections to improve consistency in:

- IFRS 1 *First-time Adoption of IFRS*
- IFRS 7 *Financial Instruments: Disclosures* (including implementation guidance)
- IFRS 9 *Financial Instruments*
- IFRS 10 *Consolidated Financial Statements*
- IAS 7 *Statement of Cash Flows*

The amendments are effective for annual periods beginning on or after 1 January 2026 (early application permitted).

The Company does not expect these amendments to have a material effect on its financial statements.

The following standards and amendments are effective for the annual reporting period beginning 1 January 2027:

▪ **IFRS 18 Presentation and Disclosure in Financial Statements**

IFRS 18 Presentation and Disclosure in Financial Statements, which was issued by the IASB in April 2024 supersedes IAS 1 and will result in major consequential amendments to IFRS Accounting Standards including IAS 8 Basis of Preparation of Financial Statements (renamed from Accounting Policies, Changes in Accounting Estimates and Errors). Even though IFRS 18 will not have any effect on the recognition and measurement of items in the consolidated financial statements, it is expected to have a significant effect on the presentation and disclosure of certain items. These changes include categorisation and sub-totals in the statement of profit or loss, aggregation/disaggregation and labelling of information, and disclosure of management-defined performance measures.

These new requirements are expected to impact all reporting entities. IFRS 18 and all consequential amendments are effective for reporting periods beginning on or after 1 January 2027, with earlier application permitted. Retrospective application is required.

The Company is currently assessing the effect of these new accounting standards and amendments.

▪ **IFRS 19 Subsidiaries without Public Accountability: Disclosures**

IFRS 19 was issued in May 2024, IFRS 19 introduces a reduced-disclosure framework for subsidiaries that:

- Do not have public accountability; and
- Are included in consolidated financial statements of a parent applying full IFRS.

Under IFRS 19, eligible subsidiaries apply recognition, measurement, and presentation requirements of IFRS Standards but follow simplified disclosure requirements set out in IFRS 19. IFRS 19 will become effective for reporting periods beginning on or after 1 January 2027, with early application permitted.

The Company is assessing the potential adoption of IFRS 19 for qualifying subsidiaries. No decision has been finalized, and the impact on future financial statements is under review.

4. **Critical accounting estimates and judgements**

The Company makes certain estimates and assumptions regarding the future. Estimates and judgements are continually evaluated based on historical experience as well as other factors, including expectations of future events that are believed to be reasonable under the circumstances. In the future, actual experience may differ from these estimates and assumptions. The estimates and assumptions that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are:

(a) ***Income and deferred taxation***

Morison Industries Plc usually incurs income taxes payable, and also recognises changes to deferred tax assets and deferred tax liabilities, all of which are based on management's interpretations of applicable laws and regulations. The quality of these estimates is highly dependent upon management's ability to properly apply at times a very complex sets of rules, to recognise changes in applicable rules and, in the case of deferred tax assets, management's ability to project future earnings from activities that may apply loss carry forward positions against future income taxes.

(b) ***Impairment of property, plant and equipment***

Morison Industries Plc assesses assets or groups of assets for impairment annually or whenever events or changes in circumstances indicate that carrying amounts of those assets may not be recoverable. In assessing whether a write-down of the carrying amount of a potentially impaired asset is required, the asset's carrying amount is compared to the recoverable amount. Frequently, the recoverable amount of an asset proves to be the Company's estimated value in use.

The estimated future cash flows applied are based on reasonable and supportable assumptions and represent management's best estimates of the range of economic conditions that will exist over the remaining useful life of the cash flows generating assets.

(c) ***Legal proceedings***

The Company reviews outstanding legal cases following developments in the legal proceedings and at each reporting date, in order to assess the need for provisions and disclosures in its financial statements. Among the factors considered in making decisions on provisions are the nature of litigation, claim or assessment, the legal process and potential level of damages in the jurisdiction in which the litigation, claim or assessment has been brought, the progress of the case (including the progress after the date of the financial statements but before those statements are issued), the opinions or views of legal advisers, experience on similar cases and any decision of the Company's management as to how it will respond to the litigation, claim or assessment.

(d) **Estimates of useful lives and residual values**

The estimates of useful lives and residual values of property, plant and equipment impact the annual depreciation charge. The useful lives and residual values are based on management experience and the condition of the assets. Consideration is given to management's intended usage policy for the assets in the future and potential market prices of similar assets.

5. **Summary of material accounting policies**

The Company's accounting policies set out below have been applied consistently to all years presented in these financial statements.

(a) **Foreign currency transactions**

In preparing the financial statements of the Company, transactions in currencies other than the entity's presentation currency (foreign currencies) are recognised at the rates of exchange prevailing at the dates of the transactions and any exchange differences arising are included in the profit or loss of the reporting year.

At the end of each reporting year, monetary items denominated in foreign currencies are retranslated at the rates prevailing at that date. Non-monetary items carried at fair value that are denominated in foreign currencies are retranslated at the rates prevailing at the date when the fair value was determined. Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rate of the transaction (i.e not retranslated).

(b) **Revenue**

(i) **Identification of contract with customers**

For sales of goods, contract with customers is established when the Company accepts and confirms the purchase order from customers. For services, contract with customers is established when a contract agreement is signed between the Company and the customers.

(ii) **Performance obligation and timing of revenue recognition**

Revenue represents the fair value of the consideration received or receivable for sales of goods and services, in the ordinary course of the Company's activities and is stated net of value-added tax (VAT). The Company derived revenue principally from the sales of locally manufactured products, imported medical products and contract manufacture products. Revenue is recognised at a point in time when control of goods has transferred, being when the products are delivered to the customers (end users). Delivery occurs when the products have been shipped to the specific location and the control has been transferred and evidence of delivery received from the customers and the Company has objective evidence that all criteria for acceptance have been satisfied. No sales are reported if control of the goods has not been passed to the customers.

(iii) **Determining the transaction price**

Most of the Company's revenue is derived from price list and the amount of revenue to be earned from each consumer sales and contract manufacturer is determined by reference to those price lists. The Company has full discretion over the price to sell the products.

(iv) **Allocating amounts to performance obligation**

All prices have been allocated to each performance obligation identified in the contract on a relative stand-alone selling price basis.Each service is invoiced separately based on the capacity provided and the price agreed with the customer. Therefore, there is no judgement invloved in allocating contract price to performance obligations(all performance obligations are capable of being, and are, sold separately).

(v) **Revenue recognition**

Revenue is recognised when the Company satisfies performance obligation. Satisfaction occurs when the Company transfers control of products to the customers. Control is the ability to direct the use and obtain substantially all of the remaining benefits from an asset.

(c) **Cost of Sales**

Cost of sales includes the cost of manufacturing inventory, costs related to transportation, impairment and inventory write downs.

(d) **Finance income and finance expenses**

Finance income comprises interest income on short term deposits with banks. Interest income on short term deposits is recognised and accrued on a time basis, by reference to the principal outstanding and at the effective interest rate applicable, which is the rate that exactly discounts estimated future cash receipts through the expected life of the financial asset to that asset’s net carrying amount on initial recognition. Interest income is recognised in the statement of profit or loss and other comprehensive income as it accrues, using the effective interest method.

Finance expenses comprise interest on finance lease and borrowings

(e) **Property, plant and equipment**

(i) **Recognition and measurement**

Property, plant and equipment are stated at cost/revalued amount less accumulated depreciation and any accumulated impairment losses. Cost includes expenditure that is directly attributable to the acquisition of the assets.

Revalued amount represents the fair value at the date of revaluation less any subsequent accumulated depreciation and impairment losses. Revaluations are made with sufficient regularity such that the carrying amount does not differ materially from that which would be determined using fair value at the end of the reporting date.

Gains and losses on disposal of an item of property, plant and equipment are determined by comparing the proceeds from disposal with the carrying amount of property, plant and equipment, and are recognised net within other income and operating expenses respectively in the statement of profit or loss and other comprehensive income.

(ii) **Subsequent costs**

The cost of replacing a part of an item of property, plant and equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the Company and its cost can be measured reliably. The carrying amount of the replaced part is then derecognised. The costs of the day-to-day servicing and maintenance of an item of property, plant and equipment are recognised in the statement of profit or loss and other comprehensive income during the period in which they are incurred.

(iii) **Depreciation**

Depreciation is calculated on items of property, plant and equipment to write down the cost of each asset to its residual value over its estimated useful life. No depreciation is charged on items of property, plant and equipment until they are available for use.

The principal annual rates used for this purpose, which are consistent with those for the previous years are as follows:

Class of assets	%
Leasehold land	Over the period of the lease
Building	2
Plant, machinery and equipment	10
Computer equipment	33 1/3
Motor vehicles:	
Delivery Vans	33 1/3
Cars	25

The Company allocates the amount initially recognised in respect of an item of property, plant and equipment to its significant parts and depreciates separately each such part. Residual values, method of amortisation and useful lives of the assets are reviewed annually and adjusted if appropriate.

iv) **Derecognition**

An item of property, plant and equipment is derecognised upon disposal or when no future economic benefits are expected from its use. Any gains or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in the profit or loss component of the statement of comprehensive income within 'Other income or operating expenses' in the year that the asset is derecognised.

(f) **Impairment of non-financial assets**

Non-financial assets other than inventories are reviewed at each reporting date for impairment or whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less cost to sell and value in use. For the purposes of assessing impairment, assets are grouped at the lowest levels for which they have separately identifiable cash flows (cash-generating units).

If the recoverable amount of an asset is estimated to be less than its carrying amount, the carrying amount of the asset is reduced to its recoverable amount. An impairment loss is recognised immediately in the statement of profit or loss and other comprehensive income, unless the relevant asset is carried at a revalued amount, in which case the impairment loss is treated as a revaluation decrease.

Where an impairment loss subsequently reverses, the carrying amount of the asset is increased to the revised estimate of its recoverable amount, but so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the asset in prior years. A reversal of an impairment loss is recognised immediately in the statement of profit or loss and other comprehensive income, unless the relevant asset is carried at a revalued amount, in which case the reversal of the impairment is treated as a revaluation increase.

(g) **Inventories**

Inventories include locally manufactured products,healthcare products, raw materials and packaging. Inventories are valued at the lower of cost and net realisable value.

Cost is determined using the weighted average method of valuation. Cost comprises direct material and, where applicable, direct labour and those overheads that have been incurred in bringing the inventories to their present location and condition. Net realisable value represents the estimated selling price less all estimated costs to completion and costs to be incurred in marketing, selling and distribution. If carrying value exceeds net realisable amount, a write down is recognised. The write-down may be reversed in a subsequent period if the circumstances which caused it no longer exist.

Adequate provision is made for slow moving, obsolete and defective inventories to ensure that the value at which inventories is carried at the reporting date is reflective of anticipated future sales patterns.

(h) **Financial instruments**

(i) Financial assets

Financial assets include cash and cash equivalents, trade receivables, employee and other advances and eligible current and non-current assets. Financial assets are derecognized when substantial risks and rewards of ownership of the financial assets have been transferred. In cases where substantial risks and rewards of ownership of the financial assets are neither transferred nor retained, financial assets are derecognized when the Company has not retained control over the financial assets.

Recognition and measurement

Financial instruments are recognized initially at fair value. Subsequent to initial recognition, financial instruments are measured as described below:

Debt instruments

There are three measurement categories into which the Company classifies its debt instruments:

Financial instruments measured at amortized cost:

Debt instruments that meet the following criteria are measured at amortized cost (except for debt instruments that are designated at fair value through Profit or Loss (FVTPL) on initial recognition):

(a) the asset is held within a business model whose objective is to hold assets in order to collect contractual cash flows; and

(b) the contractual terms of the instrument give rise on specified dates to cash flows that are solely payment of principal and interest on the principal amount outstanding.

Financial instruments measured at fair value through other comprehensive income (FVTOCI):

Debt instruments that meet the following criteria are measured at fair value through other comprehensive income (FVTOCI) (except for debt instruments that are designated at fair value through Profit or Loss (FVTPL) on initial recognition):

(a) the asset is held within a business model whose objective is achieved both by collecting contractual cash flows and selling the financial assets; and

(b) the contractual terms of the instrument give rise on specified dates to cash flows that are solely payment of principal and interest on the principal amount outstanding.

Interest income is recognized in the statement of profit or loss for FVTOCI debt instruments. Other changes in fair value of FVTOCI financial assets are recognized in other comprehensive income. When the investment is disposed of, the cumulative gain or loss previously accumulated in reserves is transferred to the statement of profit or loss and other comprehensive income.

Financial instruments measured at fair value through profit or loss (FVTPL):

Instruments that do not meet the amortized cost or FVTOCI criteria are measured at FVTPL. Financial assets at FVTPL are measured at fair value at the end of each reporting period, with any gains or losses arising on re-measurement recognized in statement of profit or loss and other comprehensive income. The gain or loss on disposal is recognized in the statement profit or loss and other comprehensive income.

Interest income is recognized in the statement of income for FVTPL debt instruments. Dividend on financial assets at FVTPL is recognized when the entity's right to receive dividend is established.

Other financial assets

Other financial assets are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. They are presented as current assets, except for those maturing later than 12 months after the reporting date which are presented as non-current assets. These are initially recognized at fair value and subsequently measured at amortized cost using the effective interest method, less any impairment losses. These comprise trade receivables and other assets.

Cash and cash equivalents

The Company's cash and cash equivalents consist of cash in hand and at banks and demand deposits with banks, which can be withdrawn at any time, without prior notice or penalty on the principal.

For the purposes of the statement of cash flows, cash and cash equivalents include cash in hand, at banks and demand deposits with banks, net of outstanding bank overdrafts that are repayable on demand and are considered part of the Company's cash management system. In the statement of financial position, bank overdrafts are presented under borrowings within current liabilities.

(ii) Financial liabilities

Financial liabilities include long and short-term loans and borrowings, trade payables, eligible current and non-current liabilities.

Trade and other payables

Trade and other payables are initially recognized at fair value, and subsequently carried at amortized cost using the effective interest method. For these financial instruments, the carrying amounts approximate fair value due to the short term maturity of these instruments.

(iii) Derecognition of financial instruments

The Company derecognizes a financial asset when the contractual rights to the cash flows from the financial asset expire or it transfers the financial asset and the transfer qualifies for derecognition under IFRS 9. If the Company retains substantially all the risks and rewards of a transferred financial asset, the Company continues to recognize the financial asset and also recognizes a borrowing for the proceeds received. A financial liability (or a part of a financial liability) is derecognized from the Company's statement of financial position when the obligation specified in the contract is discharged or cancelled or expires.

(i) **Impairment**

(i) Financial Assets

The Company applies the expected credit loss model for recognizing impairment loss on financial assets measured at amortised cost, debt instruments at FVTOCI, lease receivables, trade receivables and other financial assets. Expected credit loss is the difference between the contractual cash flows and the cash flows that the entity expects to receive, discounted using the effective interest rate.

Loss allowances for trade receivables and lease receivables are measured at an amount equal to lifetime expected credit loss. Lifetime expected credit losses are the expected credit losses that result from all possible default events over the expected life of a financial instrument. Lifetime expected credit loss is computed based on a provision matrix which takes into account risk profiling of customers and historical credit loss experience adjusted for forward looking information. For other financial assets, expected credit loss is measured at the amount equal to twelve months expected credit loss unless there has been a significant increase in credit risk from initial recognition, in which case those are measured at lifetime expected credit loss.

Impairment provisions for receivables from related parties and debt instruments measured at FVOCI are recognised based on a forward looking expected credit loss model. The methodology used to determine the amount of the provision is based on whether there has been a significant increase in credit risk since initial recognition of the financial assets. For those where the credit risk has not increased significantly since initial recognition of the financial asset, twelve month expected credit losses along with gross interest income are recognised. For those which credit risk has increased significantly, life time expected credit losses along with the gross interest income are recognised. For those that are determined to be credit impaired, lifetime credit losses along with interest income on a net basis are recognised.

(ii) Non - Financial Assets

The Company assesses long-lived assets such as property, plant, equipment and acquired intangible assets for impairment whenever events or changes in circumstances indicate that the carrying amount of an asset or group of assets may not be recoverable. If any such indication exists, the Company estimates the recoverable amount of the asset or group of assets. The recoverable amount of an asset or cash generating unit is the higher of its fair value less cost of disposal (FVLCD) and its value-in-use (VIU). The VIU of long-lived assets is calculated using projected future cash flows. FVLCD of a cash generating unit is computed using turnover and earnings multiples. If the recoverable amount of the asset or the recoverable amount of the cash generating unit to which the asset belongs is less than its carrying amount, the carrying amount is reduced to its recoverable amount. The reduction is treated as an impairment loss and is recognized in the statement of profit or loss and other comprehensive income. If at the reporting date, there is an indication that a previously assessed impairment loss no longer exists, the recoverable amount is reassessed and the impairment losses previously recognized are reversed such that the asset is recognized at its recoverable amount but not exceeding written down value which would have been reported if the impairment losses had not been recognized initially.

(j) **Offsetting financial instruments**

Financial assets and liabilities are offset and the net amount reported in the statement of financial position when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis or realise the asset and settle the liability simultaneously.

(k) **Prepayments**

Prepayments are payments made in advance relating to the following year and are recognised and carried at original amount less amounts utilised in the statement of profit or loss and other comprehensive income.

(l) **Borrowings**

Borrowings are recognised initially at fair value, net of transaction costs incurred. Borrowings are subsequently carried at amortised cost using the effective interest rate; any difference between the proceeds (net of transaction costs) and the redemption value is recognised in the income statement over the period of the borrowings using the effective interest method. Borrowings to be settled within 12 months period are classified as current liabilities while borrowings to be settled over 12 months are classified as non-current liabilities.

(m) **Provisions**

Provision is recognised when the Company has a present obligation, whether legal or constructive, as a result of a past event for which it is possible that an outflow of resources embodying economic benefits will be required to settle the obligation and reliable estimates can be made of the amounts of the obligations in accordance with IAS 37.

Provisions are measured at management's best estimate of the expenditure required to settle the obligation at the end of the reporting period, and are discounted where the effect is material.

Provisions are not recognised for future operating losses. Where there are a number of similar obligations, the likelihood that an outflow will be required in settlement is determined by considering the class of obligations as a whole. A provision is recognised even if the likelihood of an outflow with respect to any one item included in the same class of obligations may be small.

Provisions are measured at the present value of the expenditures expected to be required to settle the obligation. The unwinding of the discount is recognised as a finance cost.

(n) **Leases**

The Company assesses at contract inception whether a contract is, or contains, a lease. That is, if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

Company as a lessee

The Company applies a single recognition and measurement approach for all leases, except for short-term leases and leases of low-value assets. The Company recognises lease liabilities to make lease payments and right-of-use assets representing the right to use the underlying assets.

(i) Right-of-use assets

The Company recognises right-of-use assets at the commencement date of the lease (i.e., the date the underlying asset is available for use). Right-of-use assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities. The cost of right-of-use assets includes the amount of lease liabilities recognised, initial direct costs incurred, and lease payments made at or before the commencement date less any lease incentives received.

Right-of-use assets are depreciated on a straight-line basis over the shorter of the lease term and the estimated useful lives of the assets.

(ii) Lease liabilities

At the commencement date of the lease, the Company recognises lease liabilities measured at the present value of lease payments to be made over the lease term. The lease payments include fixed payments (including in-substance fixed payments) less any lease incentives receivable, variable lease payments that depend on an index or a rate, and amounts expected to be paid under residual value guarantees. The lease payments also include the exercise price of a purchase option reasonably certain to be exercised by the Company and payments of penalties for terminating the lease, if the lease term reflects the Company exercising the option to terminate.

In calculating the present value of lease payments, the Company uses its incremental borrowing rate at the lease commencement date because the interest rate implicit in the lease is not readily determinable. After the commencement date, the amount of lease liabilities is increased to reflect the accretion of interest and reduced for the lease payments made. In addition, the carrying amount of lease liabilities is remeasured if there is a modification, a change in the lease term, a change in the lease payments (e.g., changes to future payments resulting from a change in an index or rate used to determine such lease payments) or a change in the assessment of an option to purchase the underlying asset.

(o) **Employee benefits**

(i) **Short term employee benefits**

Short term employee benefit obligations are measured on an undiscounted basis and are expensed as the related services are provided. The Company recognises wages, salaries, bonuses and other allowances for current employees in the statement of profit or loss and other comprehensive income as the employees render such services.

A liability is recognised for the amount expected to be paid under short - term benefits, if the Company has a present legal or constructive obligation to pay the amount as a result of past service provided by the employee and the obligation can be estimated reliably.

(ii) **Defined contribution plans**

The Company has both defined benefit and defined contribution plans.

The Company operates a defined contribution pension scheme for members of staff which is independent of its finances and is managed by Pension Fund Administrators. The scheme is funded by contributions from employees and the Company at 8% and 10% respectively each of employee's relevant emoluments, in accordance with the provisions of the Pension Reform Act 2014. In addition, full provision is made in the financial statements for liabilities at the financial position date in respect of employee's terminal gratuities based on current relevant emoluments. For defined benefit plans, the level of benefit provided is based on the length of service and earning of the person entitled. The gratuity scheme, (defined benefit plans) has been cancelled since 2015.

(p) **Taxation**

(i) **Current income tax**

The income tax expense for the period comprises current and deferred tax expense. Tax is recognised in the statement of comprehensive income except to the extent that it relates to items recognised in other comprehensive income or directly in equity. In this case, the tax is also recognised in other comprehensive income or directly in equity, respectively.

The current income tax charge is calculated on the basis of the tax laws enacted or substantially enacted at the reporting date in Nigeria where the Company operates and generates taxable income.

The tax currently payable is based on taxable profit for the year. Taxable profit differs from profit as reported in the statement of comprehensive income because it excludes items of income or expense that are taxable or deductible in other years, but it further excludes items that are never taxable or deductible. The Company is subject to the following types of current income tax:

- Company Income Tax - This relates to tax on revenue and profit generated by the Company during the year, to be taxed under the Companies Income Tax Act, Cap C21, LFN 2004 as amended to date
- Tertiary Education Tax - Tertiary education tax is based on the assessable income of the Company and is governed by the Tertiary Education Trust Fund (Establishment) Act, LFN 2011 (Amended)

(ii) **Deferred tax**

Deferred tax is recognised in respect of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes.

Deferred tax is not recognised for:

- temporary differences on the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit or loss.
- taxable temporary differences arising on the initial recognition of goodwill.

Deferred tax is provided for using the liability method, which represents taxation at the current rate of corporate tax on all timing differences between the accounting values and their corresponding tax written down values. A deferred tax asset is recognised only to the extent that it is probable that future taxable profits will be available against which the amount will be utilised. Deferred tax assets are reduced to the extent that it is no longer probable that the related tax benefit will be realised.

Deferred income tax assets and liabilities are offset when there is a legally enforceable right to offset current tax assets against current tax liabilities and when the deferred income tax assets and liabilities relate to income taxes levied by the same taxation authority on either the same taxable entity or different taxable entities where there is an intention to settle the balances on a net basis.

(q) **Share capital, reserves and dividends**

(i) **Share capital**

Share capital represents the nominal value of shares that have been issued.

(ii) **Reserves**

Reserves include all current and prior periods' retained earnings.

(iii) **Dividends**

Dividends on ordinary shares are recognised in the Company's financial statements in the period in which the dividends are approved by the Company's shareholders.

(iv) **Earnings per Share**

Basic earnings per share (EPS) is calculated by dividing the profit or loss attributable to equity owners of Morison Industries Plc by the weighted average number of ordinary shares outstanding during the year.

(r) **Related party transactions**

Related parties include the related companies, the directors and any employee who is able to exert significant influence on the operating policies of the Company. Key management personnel are also considered related parties. Key management personnel are those persons having authority and responsibility for planning, directing and controlling the activities of the entity, directly or indirectly, including any director (whether executive or otherwise) of that entity.

The Company considers two parties to be related if, directly or indirectly one party has the ability to control the other party or exercise significant influence over the other party in making financial or operating decisions.

Where there is a related party transactions with the Company, the transactions are disclosed separately as to the type of relationship that exists with the Company and the outstanding balances necessary to understand their effects on the financial position and the mode of settlement.

6. **Financial risk management**

(a) **Financial Risk Management Disclosure**

Morison Industries Plc continued in the period under review to enhance its corporate governance standards by improving on the level of risk management disclosure in the financial statements.

The overall responsibility for risk management lies with the Board of Directors. The Internal Audit Unit performs the independent assessment of the effectiveness of Internal controls and procedures and reports independently through the Internal Audit Manager to the Managing Director and Audit Committee Members. The Audit Committee members also review the internal audit programme and the internal control procedures.

The Board of Directors, having recognized that an appropriate level of timely disclosure is beneficial to all stakeholders, has given its full support to this process to boost the confidence of the users of the financial statements of the Company with the aim of enhancing the level and quality of disclosure at all times even as a regulatory framework for its risk management disclosure is evolving.

The Company has a risk management framework which highlights key risk areas (Regulatory, Financing, Credit, Reputational, Compliance and Operational). This is to give a clear view of the major risks we believe are faced by Morison Industries Plc and the role of the Board of Directors and Management in managing these risks.

(b) **Regulatory Risk**

There have been constant changes in government policies on banning and un-banning certain components or allowing importation of some finished goods that are available locally. These inconsistent policies could result in losses as they give unfair advantage to foreign manufacturers whose cost of production is very low. Morison Industries Plc liaises constantly with the Manufacturers' Association of Nigeria which is doing a lot to ensure that Manufacturers are informed of impending changes and implications of new pronouncements.

(c) **Financing Risk**

The cost of funds is very high and is inimical to the growth of the manufacturing industry. The banks are also not willing to grant credit to manufacturing Companies because the sector is considered high risk. This is affecting the capacity utilization and working capital. We have limited our operations to what the internally generated funds could support and also plan to raise funds from capital market when the market stabilises. We also enjoy some credit terms with our foreign suppliers to support our operations.

(d) **Credit Risk**

Some customers default in paying for goods and services as and when due. The effect is that there is high risk of bad debt. We continuously monitor the activities of our distributors and review from time to time the facility granted them. We extend credit to only suitable and well-identified customers and withdraw such credits where there is any doubt as to their ethical standard and records as we also ensure that there are penalties for non-compliance with the Company's credit policies.

(e) **Compliance Risk**

Changes in rules and regulations and the introduction of new legislations have placed greater emphasis on the need to monitor compliance with legal and regulatory requirements. The risk of non-compliance with the legal and regulatory requirements ranges from potential financial loss occasion by regulatory sanctions as well as damage to the Company's reputation. Morison Industries Plc ensures it meets minimum requirements to avoid penalties and monitors compliance with the assistance of our legal personnel.

(f) **Reputational Risk**

The industry is suffering heavily from the activities of fakers who imitate the original product. The consumers are discouraged from patronizing the original product because they bought fake products that did not give them value. The effect of the activities of the fakers is that the Company is unable to sell its products and thereby suffers heavy losses. We check the activities of the fakers through the use of holograms, constant improvement and change in packaging. We also endeavour to sell directly to end users.

(g) **Operational Risk**

Operational risk is the risk of loss resulting from inadequate or failed internal processes, people, systems and external events. This includes legal risk but excludes reputational risk. The Company recognizes the significance of operational risk, which is inherent in all areas of our business. Operational risk is managed within acceptable levels through an appropriate level of management focus and resources.

The Company is committed to the management of operational risks by ensuring effective control of operations, providing early warning signals of deterioration in the Company's Internal Control System and raising awareness of operational risk from top to the bottom.

General objectives, policies and processes

The Board has overall responsibility for the determination of the Company's risk management objectives and policies and, whilst retaining ultimate responsibility for them, it has delegated the authority for designing and operating processes that ensure the effective implementation of the objectives and policies to the Company's finance department. The Board receives monthly reports from the Company's Financial Controller through which it reviews the effectiveness of the processes put in place and the appropriateness of the objectives and policies it sets. The Company's Financial Controller also reviews the risk management policies and processes and reports their findings to the Board.

The overall objective of the Board is to set policies that seek to reduce risk as far as possible without unduly affecting the Company's competitiveness and flexibility.

The Company is exposed to the following risks from its use of financial instruments:

- Credit risk
- Market risk - Foreign exchange risk
- Liquidity risk

In common with all other businesses, the Company is exposed to risks that arise from its use of financial instruments. This note describes the Company's objectives, policies and processes for managing those risks and the methods used to measure them. Further quantitative information in respect of these risks is presented throughout these financial statements. There have been no substantive changes in the Company's exposure to financial instrument risks, its objectives, policies and processes for managing those risks or the methods used to measure them from previous periods unless otherwise stated in this note.

(i) **Principal financial instruments**

The principal financial instruments used by the Company, from which financial instrument risk arises are as follows:

- Trade receivables
- Cash and cash equivalents
- Trade and other payables

(ii) **Financial instruments by category**

Financial assets

	Financial assets	
	2025	**2024**
	N'000	**N'000**
Cash and cash equivalents	541,186	21,996
Trade receivables	90,742	33,014
Total financial assets	631,928	55,010

Total financial liabilities

	Financial liabilities at amortised cost	
	2025	**2024**
	N'000	**N'000**
Trade and other payables	283,283	243,903

(a) **Credit risk**

Credit risk is the risk of financial loss to the Company if a customer or counterparty to a financial instrument fails to meet its contractual obligations. The Company is mainly exposed to credit risk from cash deposit with banks and on prepaid expenses

The Management has established a credit policy not to sell to any customer when a deposit has not been made for goods. The Company's review includes external ratings, when available, and in some cases bank references.

Exposure to credit risk

The carrying amount of financial assets represents the maximum credit exposure. The maximum exposure to credit risk at the reporting date was:

	2025	**2024**
	N'000	**N'000**
Cash and cash equivalents	541,186	21,996
Trade receivables	90,742	33,014
	631,928	55,010

In order to mitigate the credit risk arising from deposits with banks, banks with good reputations are accepted by the Company for business transactions.

Cash at bank and short-term deposits

An amount of cash and short term investments is held with the following financial institutions:

	2025	2024
Cash at bank	**N'000**	**N'000**
Ecobank Nigeria Limited	12,695	7,476
Fidelity Bank Plc	12,558	9,359
Stanbic IBTC Bank Plc	422	422
Union Bank of Nigeria Plc	5,230	1,202
Wema Bank Plc	212	211
Zenith Bank Plc	510,064	3,281
	541,181	21,951

(b) **Market risk**

Market risk concerns the risk that Company income or the value of investments in financial instruments is adversely affected by changes in market prices, such as exchange rates and interest rates. The objective of managing market risks is to keep the market risk position within acceptable boundaries while achieving the best possible return.

Foreign exchange risk

The Company imports its goods from India, China, Germany and Great Britain and is exposed to foreign exchange risk arising from various currency exposures, primarily with respect to the US dollar and the British Pounds. Foreign exchange risk arises on recognized assets and liabilities, principally trade receivables , cash and cash equivalents and trade payables.

Foreign exchange risk arises when future recognized assets or liabilities are denominated in a currency that is not the entity's functional currency. Management has set up a policy to manage foreign exchange risk and imposes strict limits on the maximum exposures that can be entered into. The Company does not hedge against foreign currency exposures. The tables below summarise the Company's exposure to foreign currency arising from financial instruments. The Company's financial assets and liabilities are included in the table categorised by currency at their carrying amounts.

	Assets		Liabilities	
	2025	**2024**	**2025**	**2024**
	N'000	**N'000**	**N'000**	**N'000**
US dollars	1,402	1,402	-	-
British pounds	1,817	1,817	-	-
	3,219	3219	-	-

Sensitivity analysis of foreign exchange risk

Analysed below is the Company's sensitivity to a 1% increase or decrease in the Naira against the US dollars and British pounds. The analysis shows the effect of the changes on the profit after tax.

	Assets		Liabilities	
	2025	**2024**	**2025**	**2024**
	N'000	**N'000**	**N'000**	**N'000**
Effect on the profit or loss	32	32	-	-

(c) **Liquidity risk**

Liquidity risk arises from the Company's management of working capital and the finance charges and principal repayments on its debt instruments. It is the risk that the Company will encounter difficulty in meeting its financial obligations as they fall due.

The Company's policy is to ensure that it will always have sufficient cash to allow it to meet its liabilities when they become due. To achieve this aim, it seeks to maintain cash balances (or agreed facilities) to meet expected requirements for a period of at least 15 days.

The Board receives rolling 12-month cash flows projections on a monthly basis as well as information regarding cash balances. At the end of the financial year, these projections indicated that the Company expected to have sufficient liquid resources to meet its obligations under all reasonably expected circumstances.

The liquidity risk of the Company is managed by the Company's Financial Controller.

The following table sets out the contractual maturities (representing undiscounted contractual cash-flows) of financial liabilities:

	Up to 3 months	Between 3 and 12 months	Between 1 and 5 year	Between Over 5 years	Total
	N'000	N'000	N'000	N'000	N'000
As at 31 December 2025					
Trade and other payables	-	283,283	-	-	283,283
As at 31 December 2024					
Trade and other payables	-	243,903	-	-	243,903

(d) **Capital management**

The Board of Directors' policy is to maintain a strong capital base so as to maintain customer, investor, creditor and market confidence and to support future development of the business. The Board of Directors monitors the debt to capital ratio. The Board of Directors also monitors the level of dividend to be paid to holders of ordinary shares. The Board of Directors seeks to maintain a balance between the higher returns that might be possible with higher levels of borrowings and the benefits of a sound capital position. There were no changes in the Company's approach to capital management during the year. The company is not subject to externally imposed capital requirements.

The debt-to-adjusted-capital ratio at 31 December 2025 and at 31 December 2024 were as follows:

	2025	2024
	N'000	N'000
Borrowings	193,323	173,723
Less: cash and cash equivalents	(541,186)	(21,996)
Net debt	(347,863)	151,727
Total equity	1,194,378	781,811
Debt to adjusted capital ratio (%)	(29%)	19%

	2025			2024		
7. **Revenue and Profit**	**Revenue**	**Cost of sales**	**Gross profit**	**Revenue**	**Cost of sales**	**Gross profit**
Analysis by activities:	**N'000**	**N'000**	**N'000**	**N'000**	**N'000**	**N'000**
Pharmaceuticals	21,880	11,082	10,798	10,354	6,024	4,330
Locally Manufactured Products-Consumers	379,165	287,807	91,358	229,761	196,973	32,788
Others/Contracts	112,722	14,689	98,033	47,064	6,818	40,246
	513,767	313,578	200,189	287,179	209,815	77,364

	2025	2024
Primary Geographic Markets	**N'000**	**N'000**
Nigeria	513,767	287,179
Others	-	-
	513,767	287,179

	N'000	N'000
Timing of transfer of goods and services		
Point in time	513,767	287,179
Over time	-	-
	513,767	287,179

8. **Cost of sales**

Cost of sales includes:	**N'000**	**N'000**
Materials consumed	241,400	140,527
Production salaries and wages (Note 13(b))	18,699	27,511
Repairs and maintenance	18,044	9,901
Electricity	12,062	5,811
Depreciation of property, plant and equipment (Note 16(c))	1,557	1,541
Office expenses	9,725	6,832
Oil and gas	10,057	17,423
Technical & Analytical Charges	80	159
Factory Annual Registration	-	110
Uniform expenses	598	
Obsolete/damaged stock	1,356	-
	313,578	209,815

9. **Distribution and selling expenses**	**N'000**	**N'000**
Advertisement	8,260	2,414
Discounts allowed and commission	32	219
Salaries, bonuses and commission (Note 13(b))	20,161	13,899
Transportation	15,355	9,895
Freight	7,979	8,293
	51,787	34,720

10. **Operating expenses**	**N'000**	**N'000**
Audit fees	3,000	2,500
Bank charges	804	413
Computer expenses	991	1,024
Conference and seminars	164	-
Depreciation on property, plant and equipment (Note 16(c))	31,792	31,513
Directors' emoluments	7,923	5,625
Electricity	5,169	2,490
Insurance, licence and fees	3,760	2,633
Land use charges	444	485
Office expenses	38,248	13,785

	2025	2024
Operating expenses (cont'd)	**N'000**	**N'000**
Other admin expenses	566	1,354
Postages and telephones	4,790	2,575
Professional fees	6,683	4,425
Provision for other receivables (Note 18(e))	5,351	3,706
Allowance for credit losses (Note 18(a))	24,966	15,118
Rent and rates	881	879
Repairs and renewals	3,587	1,729
Salaries and wages (Note 13(b))	44,967	50,185
Secretarial expenses	22,484	11,162
Security expenses	8,084	5,182
Training expenses	110	-
Environment development charge	1,833	873
Vehicle running expenses	17,350	13,043
	233,947	170,699

11. **Other operating income**	**N'000**	**N'000**
Reversal of impairment allowance on trade receivables (Note 18(a))	26,081	870
Rental income	72,435	55,833
Sundry income (Note 11(a))	16,622	11,657
Write back of accruals no longer required	4,744	-
	119,882	68,360

(a) Sundry income includes income from the sales of old pallets, water etc.

12. **Finance income/(expenses)**	**N'000**	**N'000**
Finance income	999	2,337
Finance expenses comprise:		
Interest on borrowings (Note 20)	19,600	19,600
Net finance expenses	(18,601)	(17,263)

13. **Profit/(loss) before taxation**	**N'000**	**N'000**
Profit/(loss) before taxation is arrived at after charging:		
Audit fees	3,000	2,500
Non-Assurance Service Fees*	-	-
Depreciation of property, plant and equipment	33,349	33,054
Directors' emoluments	7,923	5,625

* BDO Professional Services did not provide any non-assurance services to the Company during the year (2024: Nil)

(a) **Staff costs and other expenses**	**N'000**	**N'000**
Salaries	79,315	86,995
Defined contribution pension costs (Note 21(d))	4,512	4,600
	83,827	91,595

(b) Apportionment of salaries and wages to statement of profit or loss and other comprehensive income are as follows:

	N'000	**N'000**
Cost of sales (Note 8)	18,699	27,511
Distribution and selling expenses (Note 9)	20,161	13,899
Operating expenses (Note 10)	44,967	50,185
	83,827	91,595

		2025	2024
(c)	**Directors**	N'000	N'000
	The aggregate emoluments of the Directors were:		
	Fees	-	-
	Other emoluments	7,923	5,625
		7,923	5,625
		N'000	N'000
(i)	Chairman's emoluments (excluding pension contributions) totalled	1,650	1,650
(ii)	Emoluments of the highest paid director (excluding pension contributions) amounted to:	950	950

The table below shows the number of Directors(excluding the Chairman) whose remuneration (excluding pension contributions) in respect of services to the company fall within the bands shown below:

		Number	Number
(iii)	Up to N150,000	4	4
	N150,001 - N300,000	-	-
	N300,001 and above	-	-
		4	4

		Number	Number
(d)	**Employees**		
	Staff numbers and costs:		
(i)	The average number of persons employed (excluding Directors) in the Company during the year were as follows:		
	Management	7	7
	Senior	15	15
	Junior	4	4
		26	26
(ii)	The aggregate payroll costs of these persons were as follows:		
		N'000	N'000
	Wages, salaries, commission and allowances	83,827	91,595

(iii) The table below shows the number of employees of the Company (other than Directors) who earned over N100,000 during the year and which fell within the bands stated below:

	Number	Number
Up to N150,000	-	-
N400,001 - N500,000	-	-
N500,001 and above	26	26
	26	26

14. **Income tax payable**

		N'000	N'000
(i)	**Statement of profit or loss**		
	Minimum tax	-	1,789
	Development levy	1,997	-
	Education tax	-	-
	Underprovision		
	Company income tax	5,025	-
	Education tax	3,882	-
	NPF	-	-
		10,904	1,789
	Deferred tax credit	(7,478)	-
		3,426	1,789

(ii) Income tax recognised in profit or loss

(a) Income tax expense is the aggregate of the charge to the statement of comprehensive income in respect of current income tax, development levy and deferred tax.

(b) The Company is not liable to minimum tax in accordance with the provisions of Nigeria Tax Act 2025.

(c) The amount provided as development levy for the year has been computed in accordance with the provisions of Nigeria Tax Act, 2025.

(iii) The income tax expense for the year can be reconciled to the accounting profit as per the statement of profit or loss and other comprehensive income as follows:

	2025 N'000	2024 N'000
Profit/(loss) before taxation	15,736	(76,958)
Tax at the statutory corporation tax rate of 30%	4,721	(23,087)
Effect of income that is exempt from taxation	(9,248)	-
Effect of expenses that are not deductible in determining taxable profit	19,507	14,191
Current year adjusted loss	(14,980)	8,896
Minimum tax	-	1,789
Development levy (4%)	1,997	-
Underprovision	8,907	-
Deferred tax	(7,478)	-
Tax (income)/expense recognised in profit or loss	3,426	1,789
Effective rate (%)	22	2

The tax rate used for 2025 and 2024 reconciliation above is the corporate tax rate of 30% and development levy rate of 4% (2024: tertiary education tax rate of 3%) payable by corporate entities in Nigeria on taxable profits under the tax laws in the country for the year ended 31 December 2025.

(iv) **Income tax recognised in other comprehensive income**

No deferred tax was recognised in other comprehensive income during the year (2024: NIL)

(v) **Statement of financial position**	N'000	N'000
Balance at the beginning of the year		
Income tax	-	-
Minimum tax	4,710	2,921
Education tax	-	-
	4,710	2,921
Payments during the year:		
Income tax	(5,025)	-
Minimum tax	-	-
Education tax	(1,399)	-
Provision for the year:		
Minimum tax	-	1,789
Development levy	1,997	-
Education tax	-	-
Underprovision		
Company income tax	5,025	-
Education tax	3,882	-
Balance at the end of the year	9,190	4,710

15. **Deferred taxation**

The following are the major deferred tax liabilities and assets recognised by the Company and movements thereon during the current and prior reporting year:

Deferred tax liabilities	Balance as at 1 January 2025 N'000	Recognised in net income N'000	Recognised in Other Comprehensive income N'000	Balance as at 31 December 2025 N'000
Excess of carrying amount over tax written down value	62,394	170,682	-	233,076
Revaluation surplus	124,337	-	-	124,337
	186,731	170,682	-	357,413
Deferred tax assets				
Unrealised foreign exchange loss	2,568	(2,568)	-	-
Provision for trade receivables	-	10,308	-	10,308
Unrelieved losses	-	170,420	-	170,420
	2,568	178,160	-	180,728
Net deferred tax liabilities/(assets)	184,163	-7,478	-	176,685

Details of deferred tax liabilities recognised in the financial statements are as follows:

Deferred tax liabilities	**2025**	**2024**
	N'000	**N'000**
Balance at the beginning of the year	184,163	184,163
Movement during the year	(7,478)	-
Balance at the end of the year	176,685	184,163

16. **Property, plant and equipment**

Cost	**Leasehold Land N'000**	**Buildings N'000**	**Plant, machinery and Furniture equipment N'000**	**Computer equipment N'000**	**Motor Vehicles N'000**	**Capital work in progress N'000**	**Total N'000**
At 1 January 2024	1,046,185	427,315	61,664	2,652	66,084	7,825	1,611,725
Additions	-	-	575	-	-	-	575
At 31 December 2024	1,046,185	427,315	62,239	2,652	66,084	7,825	1,612,300
At 1 January 2025	1,046,185	427,315	62,239	2,652	66,084	7,825	1,612,300
Additions	-	-	9,741	1,530	-	-	11,271
At 31 December 2025	1,046,185	427,315	71,980	4,182	66,084	7,825	1,623,571
Accumulated depreciation	**N'000**	**N'000**	**N'000**	**N'000**	**N'000**	**N'000**	**N'000**
At 1 January 2024	29,470	29,470	46,981	2,510	65,948	-	174,379
Charge for the year	14,735	14,735	3,307	142	135	-	33,054
At 31 December 2024	44,205	44,205	50,288	2,652	66,083	-	207,433
At 1 January 2025	44,205	44,205	50,288	2,652	66,083	-	207,433
Charge for the year	14,735	14,735	3,650	229	-	-	33,349
At 31 December 2025	58,940	58,940	53,938	2,881	66,083	-	240,782
Impairment	**N'000**	**N'000**	**N'000**	**N'000**	**N'000**	**N'000**	**N'000**
At 1 January 2024	-	-	375	-	-	-	375
Impairment	-	-	-	-	-	-	-
At 31 December 2024	-	-	375	-	-	-	375
At 1 January 2025	-	-	375	-	-	-	375
Impairment	-	-	-	-	-	-	-
At 31 December 2025	-	-	375	-	-	-	375
Carrying amounts at							
31 December 2025	987,245	368,375	17,667	1,301	1	7,825	1,382,414
31 December 2024	1,001,980	383,110	11,576	-	1	7,825	1,404,492

(a) The Company's landed property situated at 28/30 Morison Crescent, Oregun was pledged as security for the borrowings disclosed in Note 20 as at 31 December 2025

(b) No impairment loss was recognised during the year

(c) Depreciation charged to profit or loss and other comprehensive income are apportioned as follows:

	2025	2024
	N'000	N'000
Cost of sales (Note 8)	1,557	1,541
Operating expenses (Note 10)	31,792	31,513
	33,349	33,054

17. Inventories

	N'000	N'000
Raw materials	29,530	34,998
Finished goods	39,149	34,658
	68,679	69,656
Provision for obsolete inventory (Note 17(a))	-	(57)
	68,679	69,599

(a) **Provision for obsolete inventory**

	N'000	N'000
Balance at the beginning of the year	57	-
Provision for the year	-	57
Write off during the year	(57)	-
Balance at the end of the year	-	57

(b) No inventory was pledged as security for borrowings (2024: Nil)

18. Trade and other receivables

	N'000	N'000
Trade receivables	113,503	151,313
Impairment allowance on trade receivables (Note 18(a))	(24,966)	(118,619)
Trade receivables - net	88,537	32,694
Staff receivables	2,205	320
Total financial assets other than cash and cash equivalents	90,742	33,014
Other receivables and prepayments (Note 18(d))	27,849	26,209
	118,591	59,223

(a) **Impairment allowance on trade receivables**

	N'000	N'000
Balance at the beginning of the year	118,619	103,501
Allowance for credit losses (Note 10)	24,966	15,118
Write off during the year	(92,538)	-
Impairment write back (Note 11)	(26,081)	-
Balance at the end of the year	24,966	118,619

Trade receivables represent receivables from customers for goods sold and other trading services rendered to them. Trade receivables are stated at amortised cost as at the statement of financial position date.

(b) *The age analysis of trade receivables is as follows:*

	N'000	N'000
Past due < 90days	71,033	-
Past due 90-180 days	42,470	32,694
Past due 180-360 days	-	-
Past due 360days and above	-	118,619
	113,503	151,313

(c) **Movement in trade and other receivables in the statement of cash flows is as follows:**

	N'000	N'000
Movement in trade and other receivables	(59,368)	(21,966)
Allowance for credit losses- trade receivables	(24,966)	(15,118)
Allowance for credit losses- other receivables	(5,351)	(3,706)
Reversal of impairment allowance on trade receivables	26,081	-
	(63,604)	(40,790)

(c) The carrying value of trade and other receivables classified as loans and receivables approximates fair value.

	2025	2024
	N'000	N'000
Neither past due nor impaired	113,503	32,694
Past due but not impaired	-	-
Collectively impaired	-	118,619
	113,503	151,313

(d) **Other receivables and prepayments**

	N'000	N'000
Withholding tax receipts	8,675	14,910
Withholding tax receivables	10,157	25,006
Advance to suppliers	15,761	8,708
Deferred expenses	-	-
Other receivables	2,278	2,139
	36,871	50,763
Impairment allowance on other receivables (Note 18(e))	(9,057)	(24,589)
	27,814	26,174
Prepayments (Note 18(f))	35	35
	27,849	26,209

(e) **Impairment allowance on other receivables**

	N'000	N'000
Balance at the beginning of the year	24,589	20,883
Allowance for credit losses (Note 10)	5,351	3,706
Write off of other receivables	(20,883)	-
Balance at the end of the year	9,057	24,589

(f) **Prepayments**

	N'000	N'000
Advert and promotions	35	35
	35	35

19. **Cash and cash equivalents**

Cash and cash equivalents comprise:	N'000	N'000
Cash at bank	541,181	21,951
Cash in hand	5	45
	541,186	21,996

20. **Borrowings**

The book value and fair value of borrowings are as follows:	N'000	N'000
Balance at the beginning of the year	173,723	154,123
Interest charge for the year (Note 12)	19,600	19,600
	193,323	173,723

(a) In 2022, the Company obtained commercial papers from Palm Services Limited, Owel Linkso Group Limited and GTI Capital Limited amounting to N20,000,000, N10,000,000 and N20,000,000 respectively.The commercial papers attract interest of fifteen per cent (15%) per annum and a one-off management fee of 2%. The facilities are secured on the fixed and floating assets of Morison Industries Plc.

(b) In 2020, the Company obtained facilities amounting to N55,000,000 from AMC Multipurpose Ventures Limited in two tranches of N20,000,000 and N35,000,000 on 22 May 2020 and 2 October 2020 respectively. The facilities were obtained for the following purposes:
- to meet immediate working capital requirements of the Company;
- to pay off taxes due to FIRS for the years 2006 to 2015 and;
- for marketing strategies and re-branding expenses.

The facilities attract an interest of twenty two per cent (22%) per annum with a tenor of 90 days. The facilities were secured on the Company's landed property situated at 28/30 Morison Crescent, Oregun.

		2025	2024
21.	**Trade and other payables**	**N'000**	**N'000**
	Trade payables	140,851	101,351
	Other payables (Note 21(a))	132,632	132,752
	Due to related company (Note 28(a))	9,800	9,800
	Total financial liabilities, excluding borrowings, classified as financial liabilities measured at amortised cost	283,283	243,903
	Other payables-tax (Note 21(d))	19,385	20,605
	Pension payable (Note 21(c))	87,431	94,534
	Advance customer deposit	2,896	7,963
	Rent received in advance	143,784	43,383
		536,779	410,388
(a)	**Other payables**	**N'000**	**N'000**
	Unclaimed dividend	5,632	5,632
	Accruals (Note 21(b))	83,764	83,071
	Payables to other service providers	43,236	44,049
		132,632	132,752
(b)	**Accruals**	**N'000**	**N'000**
	Audit fees	2,369	3,057
	Chairman's allowance	12,000	10,500
	Payable to a strategic partner	27,800	27,800
	Directors' fees	6,650	3,975
	Interest expense	2,313	2,313
	The Nigerian Exchange Limited ('NGX')	3,459	3,492
	Professional fees	9,312	4,894
	Lease charges	5,112	4,158
	Secretarial expenses	3,160	4,670
	Backduty assessments	3,778	3,778
	Sundry accruals	7,811	7,613
	Wages and salaries	-	6,821
		83,764	83,071
(c)	**Pension payable**	**N'000**	**N'000**
	Balance at the beginning of the year	94,534	97,154
	Contributions for the year (Note 13(a))	4,512	4,600
	Remittance during the year	(11,615)	(7,220)
	Balance at the end of the year	87,431	94,534

The Company operates a defined contributory pension scheme for eligible employees. Both employer and employees contribute 10% and 8% respectively of the employees' basic, housing and transport allowances in line with the provisions of the Pension Reform Act, 2014 (as amended).

(d)	**Other payables**	**N'000**	**N'000**
	Value Added Tax	11,799	11,415
	Withholding Tax	3,430	4,208
	PAYE	4,156	4,982
		19,385	20,605

	2025	2024
22. **Employees' benefits obligations**	**N'000**	**N'000**
Balance at the beginning of the year	515	515
Payments during the year	-	-
Balance at the end of the year	515	515

The gratuity scheme has been cancelled hence no provision has been made in the books since 2015.

23. **Share capital**
Issued and fully paid:

Value		
Ordinary shares of N0.50 each	**N'000**	**N'000**
Balance at the beginning of the year	494,580	494,580
Additions during the year (Note 23 (e))	133,419	-
Balance at the end of the year	**627,999**	**494,580**

Number		
Ordinary shares of N0.50 each	**'000**	**'000**
Balance at the beginning of the year	989,160	989,160
Additions during the year (Note 23 (e))	266,838	-
Balance at the end of the year	**1,255,998**	**989,160**

(a) The share capital comprises only one class of ordinary shares. The ordinary shares carry a voting right and the right to dividend.
(b) The increase in share capital of the Company from ₦494,580,000 to ₦627,999,000 was approved by the shareholders via shareholders written ordinary resolution of 26 October 2023.
(c) Pursuant to the Board resolution and the notice of increase in share capital dated 19 January 2024, the Company's share capital was increased from ₦494,580,000 to ₦627,999,000 through the creation of 266,838,000 ordinary shares of ₦0.50 each.
(d) The resolution was filed with Corporate affairs Commission and a certificate of increase in share capital was issued on 12 February 2024.
(e) The additional shares of 266,838,000 of ₦0.50 each was issued at ₦1.50 via private placement to strategic investor effective 1 January 2025. Consequently, share capital increased by ₦133,419,000, while share premium increased by ₦266,838,000.

24. **Share premium**	**N'000**	**N'000**
Balance at the beginning of the year	84,477	84,477
Additions during the year	266,838	-
Balance at the end of the year	351,315	84,477

The additional shares of 266,838,000 of ₦1 each was issued at ₦1.50 via private placement to strategic investor. Consequently, share capital increased by ₦133,419,000, while share premium increased by ₦266,838,000.

25. **Accumulated losses**	**N'000**	**N'000**
Balance at the beginning of the year	(916,281)	(837,534)
Profit/(loss) for the year	12,310	(78,747)
Balance at the end of the year	(903,971)	(916,281)

26. **Revaluation reserve**	**N'000**	**N'000**
Balance at the beginning and the end of the year	1,119,035	1,119,035

27. **Profit/(loss) per ordinary share**

Profit/(loss) per ordinary share is calculated by dividing net results attributable to shareholders by the weighted average number of ordinary shares in issue during the year.

	2025 '000	2024 '000
Profit/(loss) for the year attributable to ordinary shareholders (N)	12,310	(78,747)
Weighted average number of ordinary shares in issue (thousands)	1,255,998	989,160
Profit/(loss) per share (kobo)	1	(8)

28. **Related party transactions**

During the year, the Company did not carry out any transactions with Morison Investment Limited. The amount of outstanding balance at the year end are as disclosed in Note 21 to the financial statements.

(a) Due to related company	N'000	N'000
Morison Investment Limited	9,800	9,800

Morison Investment Limited, United Kingdom stopped providing technical and trade mark support to Morison Industries Plc on 15 June 2012 due to the non-approval of the renewal of the technical services and royalty agreement by the National Office for Technology Acquisition and Promotion. No amount was charged for the year ended 31 December 2025 (2024: Nil).

29. **Transactions with key management personnel**

(a) Key management staff are those persons who have authority and responsibility for planning, directing and controlling the activities of the Company.

Key management of the Company includes executive and non-executive directors and members of the Executive Committee.

(b) The compensation paid or payable to key management for employee services is shown below:

	N'000	N'000
Short-term employee benefits	7,085	7,085
Defined benefits scheme cost	-	-
Contribution to compulsory Pension Fund Scheme	2,236	2,236
	9,321	9,321

30. **Substantial Interest in shares**

No individual shareholder other than Morison Investment Limited U.K. (6.15%), Mr. Richard O.Titiloye (5.19%), Leasing Partners Limited (12.81%), Brewshades Nigeria Limited (12.20%) and Topmost Asset management Ltd (10.24 %) held more than 5% of the issued share capital of the Company as at 31 December 2025.

31. **Financial Commitments**

The Directors are of the opinion that all known liabilities and commitments which are relevant in assessing the Company's state of affairs have been taken into consideration in the preparation of the financial statements under review.

32. **Contingent liabilities**

There were no contingent liabilities at the statement of financial position date (2024:Nil).

33. **Events after the reporting date**

The Directors are not aware of any events which occured since 31 December 2025 which may have material effect on the financial statements at the date or which may need to be mentioned in the financial statements in order not to make them misleading as to the results of operations or financial position at 31 December 2025.

34. **Comparative figures**

Where necessary, comparative figures have been adjusted to conform to changes in presentation in the current year in accordance with International Accounting Standard (IAS) 1.

35. **Going concern**

The financial statements have been prepared on a going concern basis. In making this assessment, the Directors considered the Company’s financial position, cash flows performance, liquidity profile and funding requirements for a period of at least twelve months from the date of approval of these financial statements. For the year ended 31 December 2025, the Company recorded a profit before tax of ₦15.7 million (2024: loss before tax of ₦77.0 million) and generated net cash inflows from operating activities of ₦129.2 million (2024: ₦3.5 million). During the year, the Company also successfully raised ₦400.3 million through the issuance of ordinary shares via private placement, which significantly strengthened its liquidity position and resulted in cash and cash equivalents of ₦541.2 million as at 31 December 2025 (2024: ₦22.0 million). Notwithstanding the improvement in profitability and cash flows, the Directors note that the Company continues to have accumulated losses of ₦903.9 million as at the reporting date and had current liabilities marginally exceeding current assets by ₦10.8 million. In addition, certain borrowings obtained in prior years remain outstanding and are subject to settlement and refinancing plans. While the Company ended the year in a net cash position, the Directors recognise that the strength of the year end cash balance was largely driven by equity financing, rather than by internally generated cash flows alone.

Management has prepared cash flow forecasts based on:
- expected continuation of improved operating performance.
- growth in revenues from locally manufactured products and contract manufacturing activities.
- disciplined cost management and working capital optimisation; and
- the utilisation of existing cash resources to meet short term obligations.

Although these initiatives have begun to yield positive results, not all elements of management’s strategic and funding plans have fully materialised as at the reporting date, and the Company’s ability to generate consistently strong operating cash flows remains subject to execution risk and prevailing economic conditions.

The Directors believe that, based on the improvements achieved to date, the availability of cash resources at year end and the assumptions underlying management’s cash flow forecasts, the Company will be able to continue in operational existence and meet its obligations as they fall due for the foreseeable future. Accordingly, the financial statements have been prepared on a going concern basis

However, the Directors acknowledge that if the anticipated improvements in operating performance and cash flow generation are not sustained, or if access to funding was to become constrained, this would give rise to a material uncertainty that may cast significant doubt on the Company’s ability to continue as a going concern.

	2025 N'000	%	2024 N'000	%
Revenue	513,767		287,179	
Other operating income	119,882		68,360	
	633,649		355,539	
Less: Bought-in-materials and services:				
Local	(481,137)		(288,248)	
Foreign	-		-	
Value added	152,512	100	67,291	100
Value added as a percentage of revenue	30%		23%	
Distributed as follows:				
To pay employees' salaries, wages and fringe benefits				
Wages, salaries and benefits	83,827	55	91,595	136
To pay providers of funds				
- interest expenses	19,600	13	19,600	29
To provide for maintenance of property, plant and equipment				
Depreciation of property, plant and equipment	33,349	22	33,054	49
To pay taxes to Government				
Taxation	3,426	2	1,789	3
Results for the year				
Profit/(loss) for the year	12,310	8	(78,747)	(117)
	152,512	100	67,291	100

	2025	2024	2023	2022	2021
Statement of profit or loss					
	N'000	N'000	N'000	N'000	N'000
Revenue	513,767	287,179	145,225	154,858	140,610
Profit/(loss) before taxation	15,736	(76,958)	(97,731)	(106,410)	(93,462)
Taxation	(3,426)	(1,789)	(993)	(1,071)	(469)
Profit/(loss) after taxation	**12,310**	(78,747)	(98,724)	(107,481)	(93,931)

Statement of financial position					
	N'000	N'000	N'000	N'000	N'000
Non-current assets	1,382,414	1,404,492	1,436,971	1,469,405	1,506,695
Current assets	728,456	150,818	88,512	98,670	107,962
Total assets	**2,110,870**	**1,555,310**	**1,525,483**	**1,568,075**	**1,614,657**
Current liabilities	739,292	588,821	480,247	424,115	363,216
Non-current liabilities	177,200	184,678	184,678	184,678	184,678
Total liabilities	**916,492**	**773,499**	**664,925**	**608,793**	**547,894**
Net assets	**1,194,378**	**781,811**	**860,558**	**959,282**	**1,066,763**
Equity					
Share capital	627,999	494,580	494,580	494,580	494,580
Share premium	351,315	84,477	84,477	84,477	84,477
Accumulated losses	(903,971)	(916,281)	(837,534)	(738,810)	(631,329)
Revaluation reserve	1,119,035	1,119,035	1,119,035	1,119,035	1,119,035
Total equity	**1,194,378**	**781,811**	**860,558**	**959,282**	**1,066,763**